

OLLSCOIL NA hÉIREANN, CORCAIGH
THE NATIONAL UNIVERSITY OF IRELAND, CORK

COLÁISTE NA hOLLSCOILE, CORCAIGH
UNIVERSITY COLLEGE, CORK

Examination Session and Year	Winter 2021
Module Code	AC4407
Module Title	Financial Reporting 1
Paper Number	1
External Examiner	Dr. Omiros Georgiou
The Head of the Department	Professor Mark Mulcahy
Internal Examiners	Ms Eimear McGeown
Instructions to Candidates	Please answer QUESTION 1 and ONE other question All workings must be shown
Duration of Paper	1.5 hours
Special Requirements	Non Programmable calculators only are allowed

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THEN ENSURE THAT YOU HAVE THE CORRECT EXAM PAPER

QUESTION 1 (COMPLUSORY)

This question is in two parts. Please answer PART ONE **AND** PART TWO.

Art Plc is a manufacturing company, operating in Ireland. Art Plc is finalising its financial statements for the year ending 31 December 2X21, however there are two unresolved issues which are listed below. Assume all issues outlined below are material.

Question 1, PART ONE

Issue A:

Art Plc measures non-current assets using the Cost Model but is considering using the Revaluation Model for property. Art Plc owns one property in Dublin from which it runs its manufacturing business. Art Plc had this property valued by an independent valuer on 31 December 2X21. Details of the property are listed below.

	Cost €'000	Fair Value at 31/12/2X21 €'000
Bluebell Property	9,200	10,800

The Bluebell property was purchased on 1 January 2X18 when it had estimated useful economic life of 40 years. Depreciation is calculated using the straight-line method.

Issue A: Required:

In accordance with the relevant IFRS/ IAS:

- (i) Assume Art Plc adopts the Revaluation Model, and that accumulated depreciation is eliminated on asset revaluation. Prepare the journal entries that would be required to recognise the revaluation of property as at 31 December 2X21.
(17 marks)
- (ii) Art Plc is concerned about the impact of future property revaluations on its financial statements. Assume the Bluebell property is subsequently revalued on 31 December 2X22 to €7,200,000. Advise Art Plc of the journal entries that would be required to account for this revaluation.
(19 marks)
- (iii) In your opinion does IAS 16 “Property Plant and Equipment” increase the comparability of financial statements? Please briefly explain your answer.
(10 marks)

Question 1 continued overleaf

Question 1, PART TWO

Issue B:

Art Plc is constructing a new machine which will be used as part of its manufacturing process. Art borrowed €1,200,000 from its bank to fund the construction of the asset. €600,000 of the loan was drawn down on 1 Jan 2X21 and the remaining €600,000 was drawn down on 1 July 2X21. The loan incurs an interest rate of 6%. The construction of the asset commenced on 1 January 2X21 and machine was expected to be complete in July 2X22. However due to a shortage in materials, construction was suspended in May and June 2X21. All interest costs in relation to this loan have been included in finance costs and expensed to the profit or loss account for the year ended 31 December 2X21

Required for Issue B:

- (i) With reference to the relevant IFRS/IAS: advise how matters outlined in issue B should be dealt with in the financial statements of Art Plc for the year ended 31 December 2X21. Include journal entries in your answer where relevant.

(14 marks)

Total for Question 1: (60 marks)

QUESTION 2

College Ltd is a sports manufacturing company. It is in the process of finalising its accounts for the year ending 31 December 2X21 and there are three outstanding issues. The financial statements have not yet been authorised by the Board of Directors of College Ltd. Assume all issues are material:

Issue A

A supplier has taken legal proceedings against College Ltd and as at 31 December 2X21, the case was ongoing. In late February 2X22, College Ltd was found liable for damages and costs totalling €200,000, which must be paid by 1 September 2X22. On 1 March 2X21 College Ltd filed a claim with its insurers and, on 9 March 2X21, was notified that the insurer would cover €120,000 of the damages.

Issue B

Items of inventory included in current assets at €50,000 as at 31 December 2X21 were sold on 2 January 2022 for €30,000.

Question 2 Continued Overleaf

Issue C

College Ltd purchased an investment property on 1 January 2X20 for €3,000,000.

Historically College Ltd had adopted the Cost Model for measuring investment property and the property was depreciated over its useful economic life of 40 years. The Cost Model was used in arriving at the profit figure for the year ended 31 December 2X21. The directors have now decided that the Fair Value model would provide more relevant and reliable information to the users of the financial statements. The following information is available in relation to the fair value of the property as at:

	Fair Value €'000
31 December 2X20	3,120
31 December 2X21	3,350

College Ltd's draft Statement of Changes in Equity for the year ending 31 December 2X21 showed the following balances for retained earnings:

	€000
Retained Earnings b/f	1,600
Profits for the year (2X21)	<u>600</u>
Retained Earnings c/f	<u>2,200</u>

Required:

- (i) Prepare for College Ltd, the retained earnings extract from the statement of changes in equity, after accounting for issues A, B and C, for the year ended 31 December 2X21. Ignore Tax. **(32 marks)**
- (ii) Briefly explain how IAS 8 "*Accounting Policies, Changes in Accounting Estimates and Errors*" helps maintain the qualitative characteristics of relevance, faithful representation (reliability), understandability and comparability of information in financial statements.

(8 marks)

Total for Question 2: 40 Marks

QUESTION 3

The following are the financial statements of John Ltd for the year ended 31 December 2X21 and comparative information from 2X20:

John Ltd			
Statement of Financial Position as at 31 December 2X21			
	2X21		2X20
	€'000		€'000
Assets			
Non-current assets			
Land	2,100		2,000
Property Plant & Equipment (Note 1)	3,362		3,150
Current assets			
Inventories	200		150
Trade Receivables	138		90
Investments	100		20
Cash	200		40
	<u>6,100</u>		<u>5,450</u>
Equity and Liabilities			
Equity			
Ordinary Share Capital @ €1	4,000		3,800
Share Premium	100		0
Retained earnings	1,200		1,040
Non-current liabilities			
10% Debentures	600		360
Current liabilities			
Trade Payables	180		220
Tax	20		30
	<u>6,100</u>		<u>5,450</u>

John Ltd			
Statement of Comprehensive Income (Extract) for the year ended			
31 December 2X21			
	2X21		2X20
	€'000		€'000
Profit before Tax	218		180
Tax	(38)		(20)
Profit after Tax	180		160

Question 3 Continued Overleaf

Additional Information:

1. The carrying amount on the Plant & Equipment is made up as follows:

	Cost	Accumulated Depreciation	Carrying Amount (NBV)
	€'000	€'000	€'000
Year end 31 December 2X20	3,900	750	3,150
Year end 31 December 2X21	4,400	1,038	3,362

2. Equipment, costing €100,000 was sold on 1 December 2X21 for €20,000. Accumulated depreciation on the equipment was €82,000.
3. John Ltd uses the Cost Model to account for non-current assets.
4. Additional debenture loan was all raised on 1 July 2X21.
5. The proposed dividend at 31/12/2X20 was €20,000 and at 31/12/2X21 it was €30,000.
6. The Investments are deposit accounts and are repayable on demand.

Required: In line with IAS 7 “*Cash-flow Statements*” prepare the Statement of Cash-flows for John Ltd for the year ended 31 December 2X21.

Total for Question 3: (40 marks)

END OF PAPER